Buffett's Tenets

Business Tenets

Is the business simple and understandable?

Does the business have a consistent operating history?

Does the business have favorable long-term prospects?

Management Tenets

Is management rational?

Is management candid with its shareholders?

Does management resist the institutional imperative?

Financial Tenets

Focus on return on equity, not earnings per share.

Calculate "owner earnings."

Look for companies with high profit margins.

For every dollar the company retained, make sure the company has created at least one dollar of market value.

Market Tenets

What is the value of the business?

Can the business be purchased at a significant discount to its value?

Buffett believes that wide diversification is required only when investors do not understand what they are doing. If these "know-nothing" investors want to own common stocks, they should own a large number of securities and space out their purchases over time. In other words, the know-nothing investor should use an index fund and dollar-cost average purchases. There is nothing shameful about becoming an index investor. In fact, Buffett points out, the index investor will actually outperform the majority of investment professionals. "Paradoxically," he notes, "when 'dumb' money acknowledges its limitations, it ceases to be dumb."[12]

"On the other hand," says Buffett, "if you are a know-something investor, able to understand business economics and to find five to ten sensibly-priced companies that possess important long-term competitive advantages, conventional diversification makes no sense to you."[13] Buffett asks you to